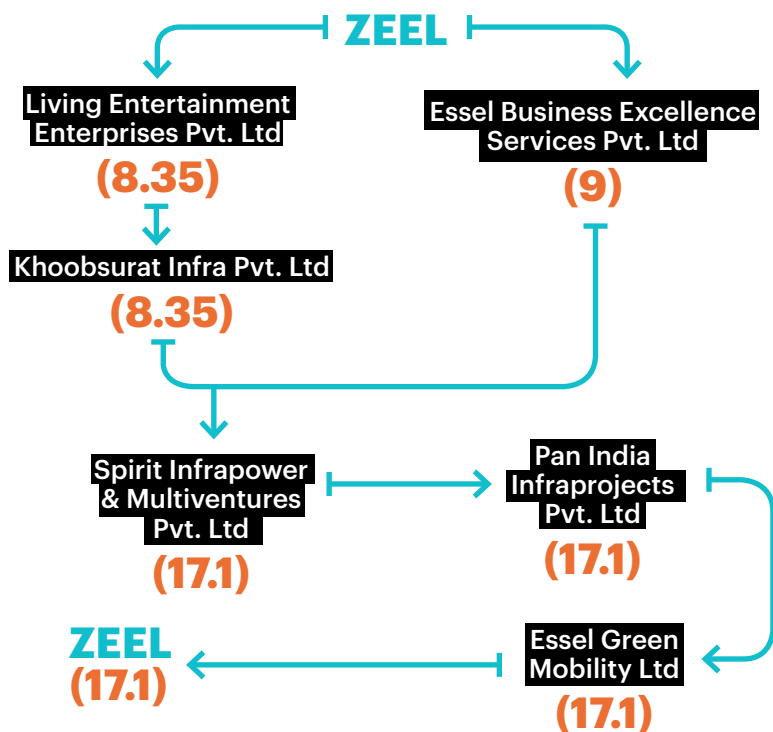


MERRY GO ROUND

An instance of alleged round-tripping of funds at ZEEL; Sebi has flagged several such transactions



All figures in ₹ crore; arrows indicate the flow of funds; **Source** Sebi interim order

their subscriber base, plus with the fund injection from Sony's parent, there is a big opportunity to beef up OTT content," explains Menon. As a part of the deal, Sony's parent will infuse \$1.5 billion in the merged entity besides holding a majority stake of 50.86 per cent, with ZEEL's shareholders at just over 45 per cent. The ZEEL promoters would have just 4 per cent. Critically, serious time and effort has gone into this merger, with the teams at both ends drawing up their strategies for a post-merger

scenario. "To unwind now and go back on all of that is a big ask. For now, both these organisations need to come together to retain their relevance and look for ways to increase market share," he adds.

The bigger issue from a legal standpoint, however, relates to Chandra and Goenka. "ZEEL's shareholders had approved the merger with the knowledge that Goenka will be a part of the new entity. They can decide to revisit the decision since the circumstances

have changed. However, this has to be done through NCLT since it is the tribunal that needs to relook at any decision taken by ZEEL's shareholders," says Ashish Kumar Singh, Managing Partner of Capstone Legal, a law firm. Of course, time is limited, with industry dynamics, most notably the increasing presence of OTTs, changing. Besides, working under a legal overhang comes with uncertainty.

Brokerage analyses reflect this. A report put out by BofA Securities on June 19 said it has a "no rating" on ZEEL since it awaits visibility on the merger going through or not. It elaborates on how the company's fundamentals are deteriorating on account of three factors. One is business momentum being weak with the expectation that revenue growth would remain slow on the back of slower advertising and subscription. It then picks out the continued investigation by Sebi as being an increased corporate governance overhang. "The latest was when Sebi said that Zee's promoters diverted money from the listed entity and barred Punit Goenka from holding board/top executive positions in listed companies—potentially preventing him from being the CEO of the merged Zee-Sony entity." The third factor is the risk to the merger, where BofA says that "the bull-case on Zee was that post-merger with Sony, the corporate governance and business momentum would improve with Sony's management getting involved. But post Sebi's order against Zee, this puts at risk the merger with Sony."

Even a diehard optimist would concede that there is a lot at stake in this long battle and anything conclusive looks some time away. **BT**

@krishnagopalan